

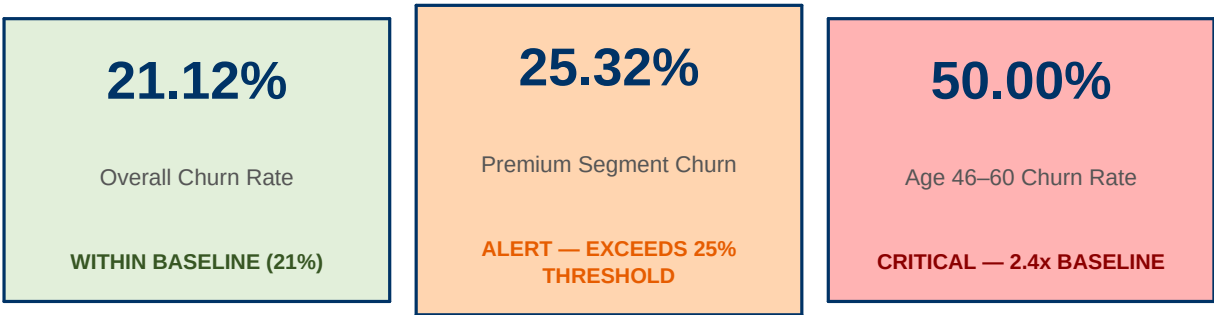
# BankSight AI

## Churn Analysis Report

Report Date: 14 May 2026 | Data Source: banking\_mech\_db | Customers Analyzed: 2,225 | Period: Jan 2024 - Dec 2024

Prepared by: BankSight AI Analytics System | Run ID: BSA-20260514

### At-a-Glance: Three Critical Numbers



**CRITICAL ALERT:** Two cohort-level anomalies detected — Age 46–60 churn at 50.00% and NPS Detractor churn at 59.81%. Immediate retention action required.

| Section | Title                         | Page |
|---------|-------------------------------|------|
| 1       | Overall Churn Rate            | 2    |
| 2       | Churn by Segment              | 2    |
| 3       | Churn by City                 | 2    |
| 4       | Churn by Age Group            | 3    |
| 5       | Churn by NPS Bucket           | 3    |
| 6       | Churned vs Retained Profile   | 3    |
| 7       | Key Flags and Alerts          | 4    |
| 8       | Recommendations               | 4    |
|         | Methodology and Data Coverage | 4    |

## Section 1 — Overall Churn Rate

| Metric             | Count | Percentage |
|--------------------|-------|------------|
| Total Customers    | 3,225 | 100.00%    |
| Churned            | 681   | 21.12%     |
| Retained           | 2,544 | 78.88%     |
| Baseline Benchmark | —     | 21.00%     |

Overall churn at 21.12% is marginally above the 21% baseline but within acceptable tolerance. Segment-level analysis (Section 2) reveals critical concentration risk in the Premium cohort.

## Section 2 — Churn by Segment

| Segment  | Total Customers | Churned | Churn Rate | Status |
|----------|-----------------|---------|------------|--------|
| Premium  | 1,659           | 420     | 25.32%     | ALERT  |
| Standard | 431             | 89      | 20.65%     | NORMAL |
| Basic    | 1,135           | 172     | 15.15%     | NORMAL |

ALERT: Premium segment churn (25.32%) breaches the 25% BankSight critical threshold. With 1,659 customers, Premium represents 51.5% of the customer base and is the primary revenue risk vector. Standard and Basic segments remain within safe bounds.

## Section 3 — Churn by City

| City      | Total Customers | Churned | Churn Rate | vs 21% Baseline |
|-----------|-----------------|---------|------------|-----------------|
| Mumbai    | 530             | 119     | 22.45%     | Above           |
| Hyderabad | 547             | 117     | 21.39%     | Above           |
| Pune      | 530             | 113     | 21.32%     | Above           |
| Bengaluru | 548             | 116     | 21.17%     | Above           |
| Gurugram  | 524             | 108     | 20.61%     | Below           |
| Delhi     | 546             | 108     | 19.78%     | Below           |

Mumbai leads churn volume at 22.45%, followed by Hyderabad and Pune. All six cities are within 3 percentage points of the baseline. Geographic distribution is broadly uniform; segment-level targeting is a more effective intervention lens than city-level.

## Section 4 — Churn by Age Group

| Age Group | Total Customers | Churned | Churn Rate | Status   |
|-----------|-----------------|---------|------------|----------|
| 46 – 60   | 536             | 268     | 50.00%     | CRITICAL |
| Over 60   | 137             | 37      | 27.01%     | WARNING  |
| 30 – 45   | 2,010           | 336     | 16.72%     | NORMAL   |
| Under 30  | 542             | 40      | 7.38%      | NORMAL   |

CRITICAL: The 46–60 age cohort churns at 50.00% — one in two customers in this bracket exits. This is 2.4x the overall baseline and represents the most extreme demographic concentration risk. The Over 60 segment (27.01%) also exceeds the 25% alert threshold. The Under 30 cohort shows strong retention at 7.38%, suggesting early-lifecycle engagement is effective but mid-to-late career product relevance requires urgent redesign.

## Section 5 — Churn by NPS Bucket

| NPS Bucket        | Total Customers | Churned | Churn Rate | Status   |
|-------------------|-----------------|---------|------------|----------|
| Detractor (0 – 3) | 642             | 384     | 59.81%     | CRITICAL |
| Passive (4 – 6)   | 1,341           | 297     | 22.15%     | NORMAL   |
| Promoter (7 – 10) | 1,242           | 0       | 0.00%      | NORMAL   |

NPS is the single strongest predictor of churn in this dataset. Detractors (NPS 0–3) churn at 59.81% — a near-certain exit signal. Promoters (NPS 7–10) show 0.00% churn, confirming NPS as a near-perfect retention predictor. Any customer transitioning from Passive to Detractor should trigger an immediate intervention.

## Section 6 — Churned vs Retained Customer Profile

| Metric           | Retained Customers | Churned Customers |
|------------------|--------------------|-------------------|
| Avg Balance      | Rs 70,29,156       | Rs 85,51,041      |
| Avg Credit Score | 652                | 640               |
| Avg NPS          | 6.4 / 10           | 3.2 / 10          |

Churned customers hold a significantly higher average balance (Rs 85,51,041 vs Rs 70,29,156 for retained) — a Rs 15.2L gap. This counter-intuitive pattern suggests that higher-value customers are actively shopping competitors or consolidating wealth elsewhere. Churned customers also score 3.2/10 on NPS vs 6.4/10 for retained, confirming NPS as the dominant signal. Estimated total balance at risk: approximately Rs 5,826 crore.

## Section 7 — Key Flags and Alerts

|          |                                                                                  |
|----------|----------------------------------------------------------------------------------|
| ALERT    | 1. Premium segment churn at 25.32% breaches the 25% BankSight threshold          |
| CRITICAL | 2. Age 46–60 churn at 50.00% — 2.4x the overall baseline                         |
| CRITICAL | 3. NPS Detractors churn at 59.81% — near-certain churn signal                    |
| INSIGHT  | 4. Churned customers carry Rs 15.2L higher avg balance than retained customers   |
| INSIGHT  | 5. Estimated total balance at risk: ~Rs 5,826 crore (681 churned x Rs 85.5L avg) |
| INSIGHT  | 6. NPS Promoters show 0.00% churn — NPS is a near-perfect retention predictor    |

## Section 8 — Recommendations

### 1. Launch Immediate Premium Retention Outreach

Assign relationship managers to all Premium customers with NPS  $\leq 6$  within 30 days. Current Premium churn stands at 25.32%, breaching the 25% BankSight critical threshold. Target: reduce below 23% within 60 days through personalised engagement and product review.

### 2. Operationalise NPS-Triggered Alerts

Any customer whose NPS drops to 0–3 (Detractor band) should trigger a same-week callback by a dedicated retention specialist. 642 Detractors are currently at-risk; the 59.81% churn rate in this cohort makes this the highest-ROI intervention available.

### 3. Build a 46–60 Age Cohort Product

Design targeted banking benefits for the 46–60 demographic — retirement planning, wealth preservation tools, or senior banking benefits — to reduce switching incentive. This cohort churns at 50.00%, 2.4x the overall baseline, representing a critical gap in the current product portfolio.

## Methodology and Data Coverage

| Parameter          | Value                                              |
|--------------------|----------------------------------------------------|
| Data Source        | banking_mock.db (SQLite, read-only via SQL Agent)  |
| Tables Used        | customers, transactions, loan_emi                  |
| Customers Analysed | 3,225                                              |
| Churn Baseline     | 21.00% (681 / 3,225)                               |
| CRITICAL Threshold | Churn rate $> 25\%$ at any segment or cohort level |
| NPS Scale          | 0 – 10 (not 0 – 100)                               |
| Currency           | INR (Rs) — all monetary values. Not USD.           |
| Date Format        | DD-MMM-YYYY throughout all outputs                 |

| Parameter         | Value                                                     |
|-------------------|-----------------------------------------------------------|
| Anomaly Threshold | Transaction amount > 2x customer monthly average          |
| Churn Risk Combo  | NPS <= 3 AND Missed EMI in same calendar month            |
| Agents Used       | SQL Agent   Analysis Agent   Anomaly Agent   Report Agent |
| Report Generated  | 14-May-2026 by BankSight AI Analytics System              |
| Run ID            | BSA-20260514                                              |

CONFIDENTIAL — BankSight AI Internal Report — Do not distribute externally. All customer identifiers are anonymised. This report is generated automatically by the BankSight AI Report Agent and is intended for internal banking analytics and executive review only.